

TRADE AND INFORMATION PROVISION ACROSS GEOGRAPHICAL SPACE

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Abstract

This dissertation examines trade frictions and the provision of information about goods and services in space. The first two chapters focus on the challenge of capturing information about suppliers or workers in globalized markets. The third chapter narrows the geographical scope to investigate the historical role of information dissemination for intra-U.S. migrations.

Chapter 1 studies the resilience of global pharmaceutical supply chains, investigating how offshoring drug production to Asia has led to persistent U.S. shortages. I document the causal impact of offshore facilities on U.S. shortages by constructing a novel dataset that precisely tracks manufacturing locations. I develop and estimate a structural model of global procurement, and show manufacturers prioritize cost-cutting over reliability, endogenously generating shortages. The inability to capture information and reward supply resilience under the current system increases disruption risk. Analyzing counterfactuals, I find modifying procurement to incentivize reliability through higher margins is more cost-effective than reshoring in resolving shortages. The net welfare gains from reducing shortages is substantial and not offset by higher drug prices.

Chapter 2, joint with Jesse Silbert, investigates the trade-off global workers face when providing information about job-specific fit to potential employers in thick, online labor markets. We develop a model of equilibrium information provision characterized by attention-constrained employers and workers who provide match-specific costly information to their potential employers. We find that high levels of competition in thick digital markets can lead to under-provision of informative signals, negatively impacting match efficiency.

Chapter 3, joint with Quan Le, explores the role of newspapers in shaping urban migrations in the 1870-1940 United States. Linking census and historical newspaper content, we find we find that access to information about urban public health investments and disease outbreaks significantly influenced migration decisions. Informed rural migrants were more likely to move to sanitation-adopting, disease-free cities, highlighting the potential for information dissemination to promote urban revitalization.

Acknowledgements

Coming Soon....

Dedication.

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